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An Apple Dividend? Don't Count On It Just Yet

By Steven Russolillo



With Apple's shareholder meeting set to begin momentarily, the big question on many investors' minds is whether Apple will finally announce a dividend.

Don't count on it. At least not yet.

Apple's robust growth has prompted its cash and investments to surge close to \$100 billion, prompting many Apple watchers to say shareholders should be awarded with either a dividend or share buyback.

Last week at a technology conference, CEO Tim Cook reiterated the company's stance that the cash hoard isn't "burning a hole" in Apple's pockets. But he did acknowledge that Apple's management has had discussions with the board over how to proceed with its billions of dollars of cash in the future.

"I don't think a dividend is coming today," David Rolfe, chief investment officer at Wedgewood Partners and an Apple shareholder, said in a quick chat with MarketBeat. "Tim Cook played his hand a little bit last week by calling for patience. But I can't imagine we're not going to see something by year end."

Apple shares were essentially flat at \$513. The stock hit an all-time intraday high of \$526.29 on Feb. 15 before retreating a bit. Shares are up about 27% in 2012.

Mr. Rolfe said he would prefer a dividend as opposed to a share buyback. "A stock buyback would be a neat headline and could pop the stock, but they're easy to announce and tough to execute," he says. "There are a litany of companies who have squandered shareholder capital through buybacks."

"If and when they announce a dividend, they should make it meaningful," Mr. Rolfe adds. "Otherwise, don't waste everyone's time."

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